UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2018/2019

SEPTEMBER EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

THURSDAY, 13 SEPTEMBER 2018 TIME: 9.00 AM – 12.00 PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONS)

Instructions to Candidates:

Section A: [Total: 40 marks]

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]

This section consists of three (3) **optional** questions and **ONLY TWO (2)** questions to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

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Section A **[Total: 40 marks]**
(Answer this ONE compulsory question)

Q1. (a) June Whitaker is a foreign exchange dealer for a bank in Wales, UK. She has £2,000,000 (or its Australian dollar equivalent) for a short-term money market investment. She wonders if she should invest in pounds sterling or make a covered interest arbitrage investment in the Australian dollar. She faces the following rates.

Spot exchange rate	AUD$ 2.7890/£
4-month forward rate	AUD$ 2.8010/£
4-month UK interest rate	2% p.a.
4-month Australia interest rate	4% p.a.

Evaluate which country's money market would you recommend June to invest in? Calculate the arbitrage profit or loss in £. (22 marks)

(b) Instead of investing in the money market, June is considering to advise her client Mr. Knox in forming a joint venture to serve a foreign market rather than to increase their foreign presence with a wholly owned subsidiary with production abroad. Discuss the advantages and disadvantages of joint venture to Mr. Knox so that he is fully aware of this investment approach.

(10 marks)

(c) Capital budgeting for a foreign project is considerably more complex than the domestic case. Discuss the factors that add to this complexity.

(8 marks)
[Total: 40 marks]

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Section B **[Total: 60 marks]**
(Answer any TWO out of three questions)

Q1. (a) When US inflation rate increases, discuss the effects on the quantity and prices of Malaysian products if Malaysia adopts the following exchange rate systems:

(i) fixed exchange rate system (5 marks)

(ii) floating exchange rate system (5 marks)

(b) Explain agency problem of MNCs. Discuss **THREE (3)** reasons why might agency costs be larger for an MNC than for a purely domestic firm? (8 marks)

(c) In order to compete effectively in the home market, the management of any company must first determine whether the company has a sustainable competitive advantage. Examine the necessary characteristics of this competitive advantage. (12 marks)

[Total: 30 marks]

Q2. (a) Bank Y in Italy has a US customer which is a MNC that wishes to explore investment opportunities in Italy but is concern about foreign exchange risk. The US customer is keen to use currency futures or forward contracts but is unsure which to choose. Differentiate between these two types of derivative instruments. (16 marks)

(b) Analyze the reason for the bank trader to quote an exchange rate that is different from the market.

The quotes are given below:

SGD/$ bank trader	Big figure bid ask of 48 – 63
Forex market	SGD/$ 1.3426-1.3430

(6 marks)

(c) Tang believes the Euro will appreciate over the USD in the next 6 months period. She would like to invest $200,000.

Current spot rate	USD0.6790/Euro
3 months forward rates	USD0.6230/Euro
6 months forward rates	USD0.6245/Euro
Expected 6 months spot rate	USD0.6845/Euro

Calculate Tang's expected profit with the following assumptions and comment which method will she choose:

Section B Q2. (c) (Continued)

(i) pure spot speculation (4 marks)

(ii) she buys or sell forward (4 marks)

[Total: 30 marks]

Q3. (a) Evaluate the primary difference between losses in transaction, translation and operating exposures. (10 marks)

(b) A corporate treasurer working in Singapore with operations in Chicago simultaneously contacted Citibank in Chicago and HSBC in London. The two banks gave the following quotes at the same time on the Euro:

Citibank Chicago	**HSBC London**
\$0.7520-61/€	\$0.7530-75/€

Using \$1 million or its euro equivalent, calculate how the corporate treasurer could make geographic arbitrage profit with the two different exchange rate quotes. (10 marks)

(c) Multinational corporations commonly consider foreign direct investment (FDI) because it can improve their profitability and enhance shareholder's wealth. In most cases, multinational corporation engaged in revenue related motives to boost revenues. Explain the ways to implement this motive.

(10 marks)

[Total: 30 marks]